Leave Policy Document

Company Name: Contoso Pvt. Ltd.

Policy Title: Employee Leave Policy

Effective Date: January 1, 2025

Version: 1.0

The objective of this policy is to explain the leave entitlement & availing procedure.

The Company “Leave Calendar” would effect from 1st Jan to 31st December every Year. All the associates who are on Payroll of the Company than policy will be applicable for those.

Note: A min. of 20 working days attendance is required in a month to avail all Sunday & Holidays.

- An anti-nepotism policy aims to prevent nepotism, favoritism, and conflicts of interest, ensuring a fair and unbiased workplace within organizations. It provides a roadmap for handling situations such as the hiring of qualified candidates who happen to be related to existing associates by blood relations, defined as individuals related by birth, including those of halfblood, or by marriage.
- Any current employee with a blood relative, including a parent, child, brother, sister, aunt, uncle, nephew, niece, first cousin, in-laws, or any of the aforementioned prefixed by “Grand” or “Great-Grand” may not be considered for employment within the organization during the same period.
- The HR team reserves the right to reject any candidates based on their relation to existing employees. One of the primary reasons organizations avoid hiring employees' relatives is to prevent favoritism and maintain clear boundaries between professional and personal lives, avoiding the misuse of power and weaknesses.
- If associate join on or before 15th day of the month then leave entitlement would be effective from first day of same month & join after 15th entitlement would be effective from first day of next month.
- All Saturday, Sunday and Holidays will be inclusive, in case of leave at both side.
- If associate take up to 5.5 days leave in a month then Saturday & Sunday will not be sandwich but more than 5.5 days leaves in a month will be applicable for sandwich in the span of next 6 leave with Saturday & Sunday.
- If associate given resignation then he/she will not be eligible to take any type of leave in his notice period, also no leaves will be entitle irrespective of dues in the period,
- If associates will take any type of leave in notice period, then his notice period will be extend accordingly.
- An Associate can resign only once his/her service commitment is over before that his/her resignation with not acceptable.

- Company is having 5 days working in week.

Casual Leave

- Entailment of Casual Leaves in a calendar year is max. 12 days.
- 3 CL will be credit in the starting of every quarter.
- Min of 0.5 CL can be apply or avail.
- All the balance of CL will be lapse on 31st December every year, no carry forward will take place for next year.

Earned Leaves:

- Associate will be eligible for EL only after confirmation of service.
- The EL will be accrued only after the completion of one / each year from the date of joining...
- Associate will not eligible for proportional EL if in case he/she resign before completion of year.
- On every 20 working days, associate shall be entitled with 1 EL.
- Min. of 1 Day EL can be availed at a time.
- Max. of 12 EL entitled in a year.

Special / Sick Leave:

As per Management Discretion.

Maternity/Paternity Leave:

- Female employees will be eligible for a paid maternity leave of 6 months. Unpaid leave cab be opted by the employee for the next 6 months. This will be eligible for 2 deliveries
- Male employees are eligible for a paternity leave of up to 5 days during the delivery time. 5 days has to be applied for at a stretch.

Working Hours

- Company office hours are minimum 8.5 hours and it starts from 10:00 AM.
- Company provide flexi hours for working & it is applicable for start time 10:00 AM to 11:00 AM (One hour flexibility in the start time)
- Minimum 8.5 hours working is mandatory.

Half Day Leave

The half day period should either be the first maximum 4.5 hours of the day or the last maximum 4.5 hours of the day.

Extra Working Day/Compensatory Off:

- The nature of the business may require employees to work on festival holidays or days off. To prevent burnout, employees who work on these days due to business needs are eligible for compensatory off or additional payment.
- In general scenario, the employee shall be informed by the HOD with a cc to HR with appropriate justification for such extra working and efforts for better transparency at least 02 days in advance, if he is required to work on any given Holiday or Week-Off. In case of urgent work exigencies, the information may be shared 01 day in advance and also it needs to be applied in the HR software in advance or same day not after extra working day.
- Employee can apply extra working in HR-Eye software from any one of given leave types
    - **Extra Working Leave:**

      After the approval of Extra Working Leave, Compensatory Off (C-Off) will be credited to the employee's leave balance.
    - **Extra Working Paid:**

      After the approval of Extra Working pay, the employee will receive one day's salary plus Rs. 100, up to a maximum of Rs. 1,000 per day.

- To avail Compensatory-Off (C-Off) prior approval from the HOD with a cc to HR is required and also it needs to be applied in the HR software 2 days in advance.
- Not more than 2 C-Off (independent or consecutive) can be availed in a given month.
- The accrued Compensatory-off can be availed anytime within the leave calendar year and will not be carried forward to the next leave calendar year.
- Sales person are not eligible for C-off
- Account, HR and Admin staff is not eligible for C-Off

Absent:

- In case associate has not applied any above said leave and he/she was absent on his / her duty, in that case also he / she has to apply the leave into HR software as leave type ABSENT
- In every quarter 1st absent case will be considering as an emergency & will be converted automatically in CL / EL while approved by Senior.
- One day salary plus 100 Rupees will be deducted from the salary for an absent employee per day.

Holidays:

- Holidays commemorating events of national, social and religious significance are offered to employees. Maximum of 8 days will be declared

as company holidays every year(if in case festival are on Saturday or Sunday no extra company holidays will be consider)
Holiday's list will be upload to HR site every year in January and will be applicable accordingly.

Planned Leaves:

- All leave must be pre-planned and must be applied at least 2 days in advance, otherwise an associate will be considered as ABSENT.

Leave apply & approval procedure:

- All leaves to be apply through HR software only, other communication like Email, Phone, SMS will not be consider.

- All type of leave needs to apply 2 days in advance.
- Anyone who is absent for three days or more without any information, shall submit a written explanation for such absence, to the HR Department and shall be liable to appropriate disciplinary action by the Management.
- Approval of all leave will be done through HR software only by their Reporting Manager, HOD has full rights to reject the leave according company needs.
- Off days and holidays falling within a spell of leave shall be debited from associate leave account.

Request for Cancellation of Leave:

- Only approved leave can be cancel by associates with the notification of 2 days in HR software, the approved leave cancel based on Reporting Boss Discretion.

Daily Activity Reporting (DAR)

DAR Non-Punch Penalty Structure

Failure to punch DAR entries is monitored cumulatively within each calendar month. A progressive penalty system applies based on the number of violations:

- **Up to two non-punched DAR entries in a month will not result in any penalty.**
  These are treated as grace instances to allow for genuine lapses without disciplinary action.

- **From the third instance onwards, penalties are applied on every alternate missed DAR day.** Specifically, a penalty is applied on the 3rd, 5th, 7th, and every subsequent odd-numbered violation in the month. This means that not every missed day results in a deduction, but the penalties increase progressively.

- **On each penalty day, a half-day Casual Leave (CL) will be automatically deducted.** If the associate does not have a sufficient CL balance, the system will apply a half-day Leave without Pay (LWP) instead.

- **All such penalty leaves, whether CL or LWP, are treated in the same manner as standard leaves.** This includes applicability of all company leave rules, such as impacts on salary, increment delays, and any other HR or payrollrelated consequences.

Responsibility

Associates are fully responsible for their daily DAR compliance. Persistent noncompliance, even if within the bounds of the penalty structure, may be viewed as a behavioral concern and can be escalated to management or HR. Repeat violations over multiple months may affect appraisals, promotions, or continued project assignments.

Leave Encashment:

- Confirmed employee having min 5 Years of Tenure in the Company will be eligible for encashment of EL.
- Maximum 50% of accumulated EL or carried forward is subjected to encashment.
- Leave encashment will be done in the last month of the calendar year or at the time of full & final settlement.
- Leave encashment will be done as per the salary drawn in the last working day.
- The maximum of 180 days encashment is being allowed in tenure.

Appraisal Duration

In case any associate having minimum cumulative 15 days of ABSENT and LWP in a year than yearly increment date shall be extended to next 1 month from due date & in case of more than 15 days of ABSENT and LWP increment date it will extended to another 1 months the span of next 10 days of ABSENT and LWP.

Appraisal will be done after completion of one year (After discussion with HOD/management)

Notice Period

As CBS is a Software Development & service Company have staffs at different levels like Associate Director, Vice President, General Manager, Senior Manager, Manager, Team Lead, Developer, Technical / Functional Consultant, Office Executive, Peon, Sweeper, Driver etc.

For different levels there are different types of notice period mentioned in the Company Policy for all Employee associated with CBS, notice period may vary from 1 to 3 Months.

- 3 Month notice period mentioned for critical resources like Team Lead, Manager, Sr. Manager, GM, VP, Sr. Consultant (Technical & Functional) etc.
- 2 Month notice period for all confirmed Employee other than above.
- 1 Month notice period applicable for all Employees during Probation period.
- No short notice period is acceptable
- In any case if short notice period is served by associate then it will be deducted from full final.

The Contract employee notice period will be consider according to agreement with the person or contractor. Associates need to full fill the notice period condition, any adjustment is not applicable.

Company Asset

Company Assets / Property like Laptop & its accessories / Mobile hand set / SIM Card / Vehicle etc. issued to associates eligible to use official purpose only. In case of unauthorized / personal use found then individual will be liable to pay the cost of unauthorized use / Damage / Losses / Misuse / un official Phone calls etc.

Associates must keep in mind he / she will be sole responsible for the assets once officially take over the assets from company and will be liable to pay cost if any till return deposited to company.

Like below points.

- Usages of Personal phone calls by company Paid Phone / SIM are not allowed.
- Complete Data Backup of laptop must be taken any time an associate can’t object.
- If backup data volume found decreased with compare to last backup volume then employee has to show the cause of data loss any time as desired by management.
- Direct transfers of company assets to some other employee are not allowed.
- Usage of company assets by the near & dear ones or family members of

the employee are not allowed.

- Usage of company assets by the other company employees etc.
- If associates having any type of service contract/commitment, he/she need to full fill his/her all terms conditions at the time of leaving from company.

A part from above said matter final decision always be taken by the Management only

Thanks & Regards

Human Resource Department